



Second Quarter 2023 Earnings Conference Call

July 25, 2023



Safe Harbor Statement

Some of our comments and materials in this presentation constitute forward-looking statements that reflect management's current views and estimates of future economic circumstances, industry conditions, Company performance and financial results.

These statements and materials are based on many assumptions and factors that are subject to risk and uncertainties. ADM has provided additional information in its reports on file with the SEC concerning assumptions and factors that could cause actual results to differ materially from those in this presentation.

To the extent permitted under applicable law, ADM assumes no obligation to update any forward-looking statements as a result of new information or future events.

Financial Highlights

2Q 2023

Adjusted Earnings
Per Share^{1,2}

\$1.89

2Q 2023

Adjusted Segment
Operating Profit^{1,3}

\$1.6B

Trailing 4-Quarter

Adjusted ROIC¹

13.8%

1H 2023

Adjusted Earnings
Per Share^{1,2}

\$3.98

1H 2023

Adjusted Segment
Operating Profit^{1,3}

\$3.4B

1H 2023

Cash from Operations
Before Working Capital⁴

\$2.5B

⁽¹⁾Non-GAAP measures - see notes on page 28

⁽²⁾See earnings per share, the most directly comparable GAAP measure, on page 23

⁽³⁾See segment operating profit as reported on page 19

⁽⁴⁾Cash from operations before working capital is total operating activities of \$0.9 billion plus the changes in working capital of \$1.6 billion.

Key Strategic Accomplishments through 1H23

4

Proprietary business information of ADM.



Ag Services & Oilseeds

Leveraged prior investments in port capabilities to support record South America origination volumes

Flexed processing capacity to optimize crush margins

Expanded partnerships in **regenerative agriculture**



Carbohydrate Solutions

Plant optimization and modernization supported record profit in Wheat Milling, NA Starch, and Int'l Corn

Continued **BioSolutions revenue and profit growth**

Finalized Tallgrass agreement to support **decarbonization efforts**



Nutrition

Record second quarter **profitability in Flavors business**

Significant pipeline wins through go-to-market and systems capabilities

Realignment of Animal Nutrition to optimize headcount and operational footprint

Improved Outlook for 2023

Continued Brazil
origination strength

Strong biofuels
demand

Solid margins for
sweeteners, starches, and
flour

Capitalizing on
pipeline wins in
Human Nutrition

Strong playbook to manage
dynamic environment

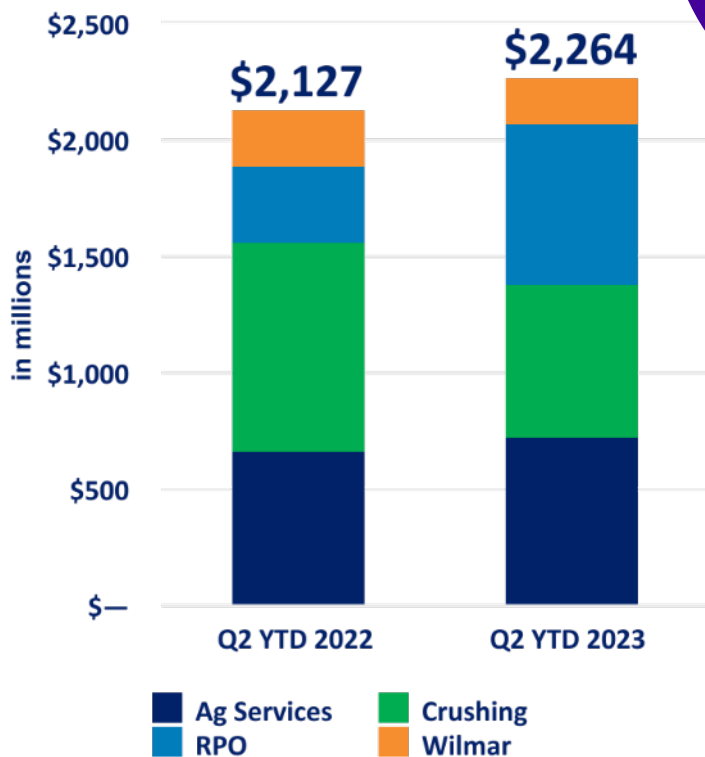
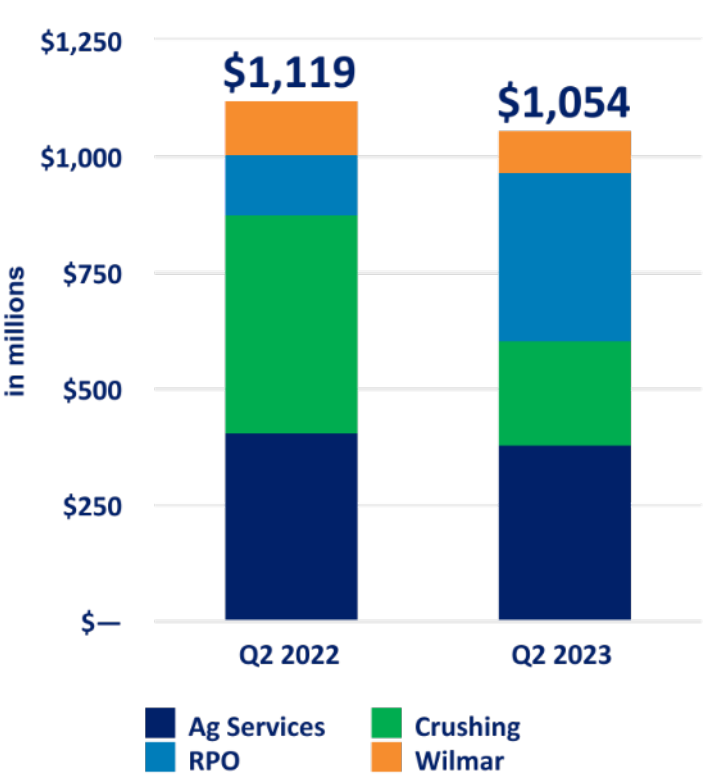
Healthy
balance sheet



Ag Services & Oilseeds

Higher First Half Results vs. Prior Year

Segment Operating Profit



Supporting Food Security

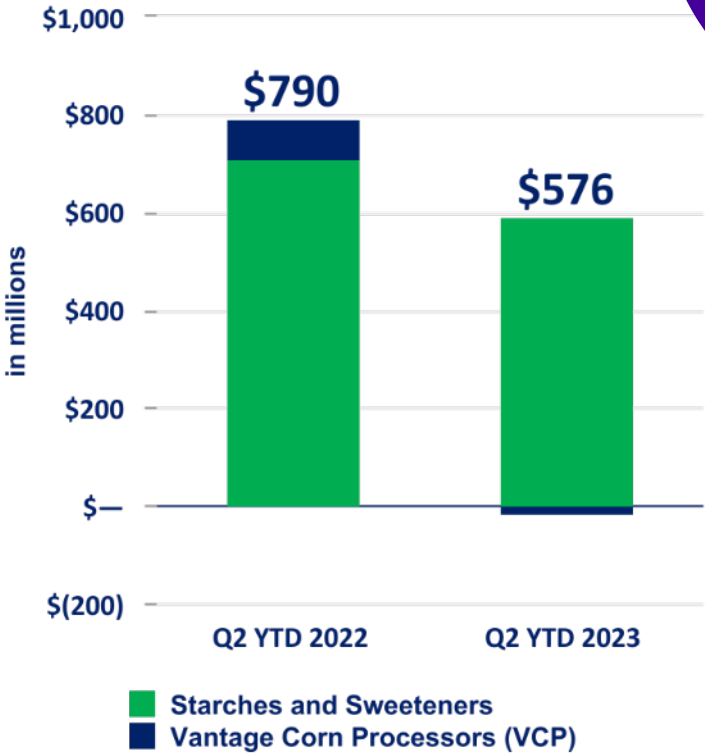
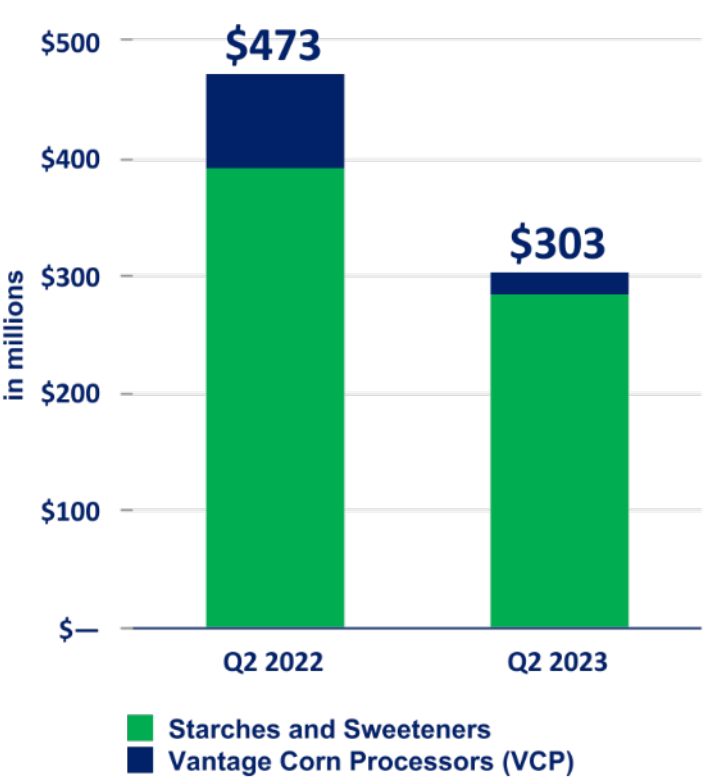
Strategic investment to expand port capabilities at Santos, enabled record export volumes in Brazil



Carbohydrate Solutions

Continued Solid Performance

Segment Operating Profit



Continuing the Carbs Evolution

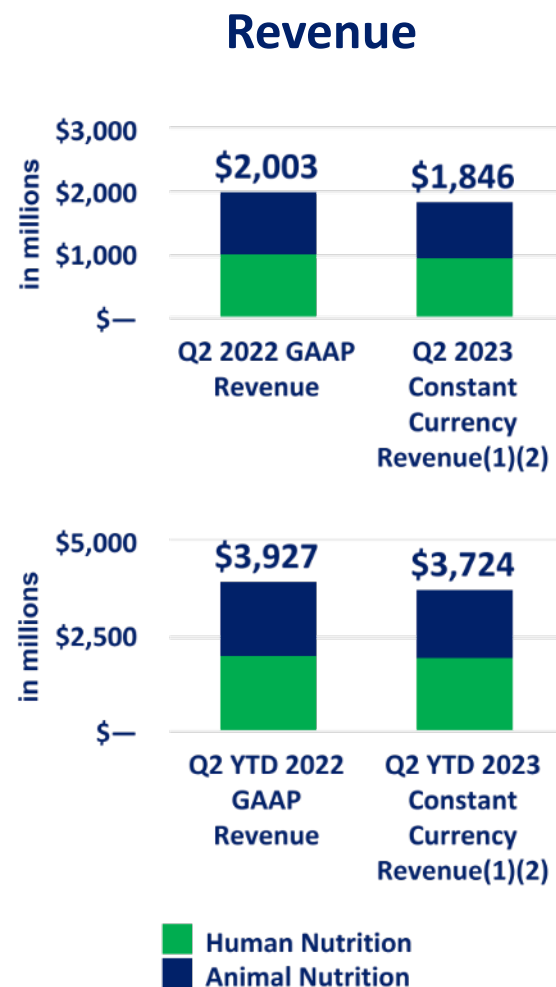
BioSolutions Q2 revenue growth of 22%



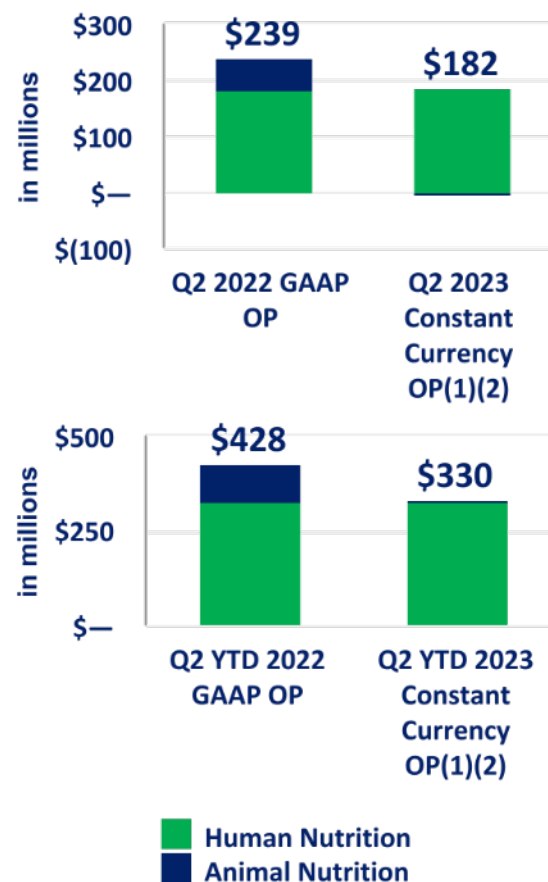
Nutrition

Lower Results on Constant Currency Basis¹

Human Nutrition Results Flat versus Prior Year



Segment Operating Profit



Industry Leading Win-Rates

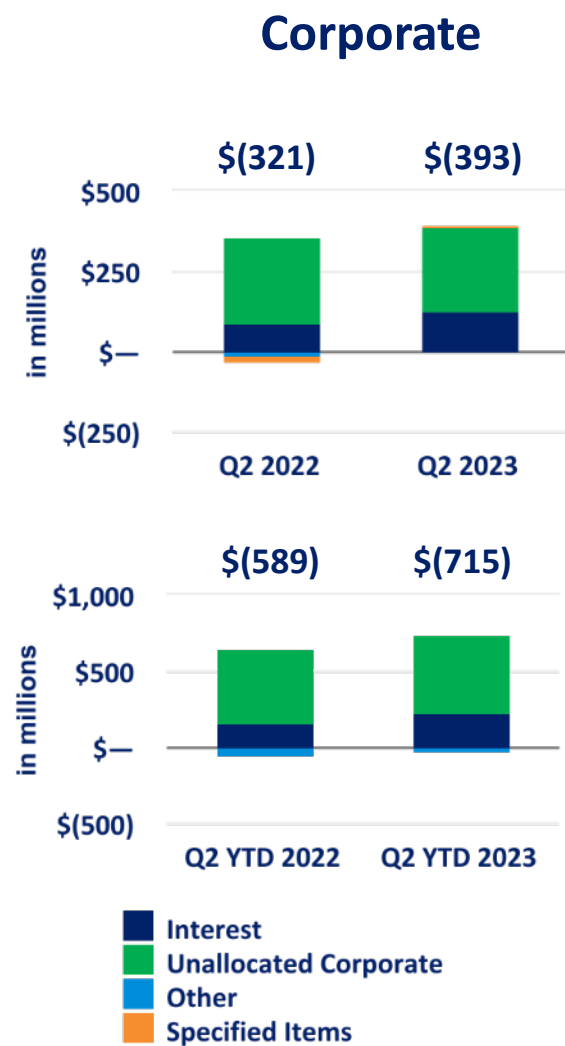
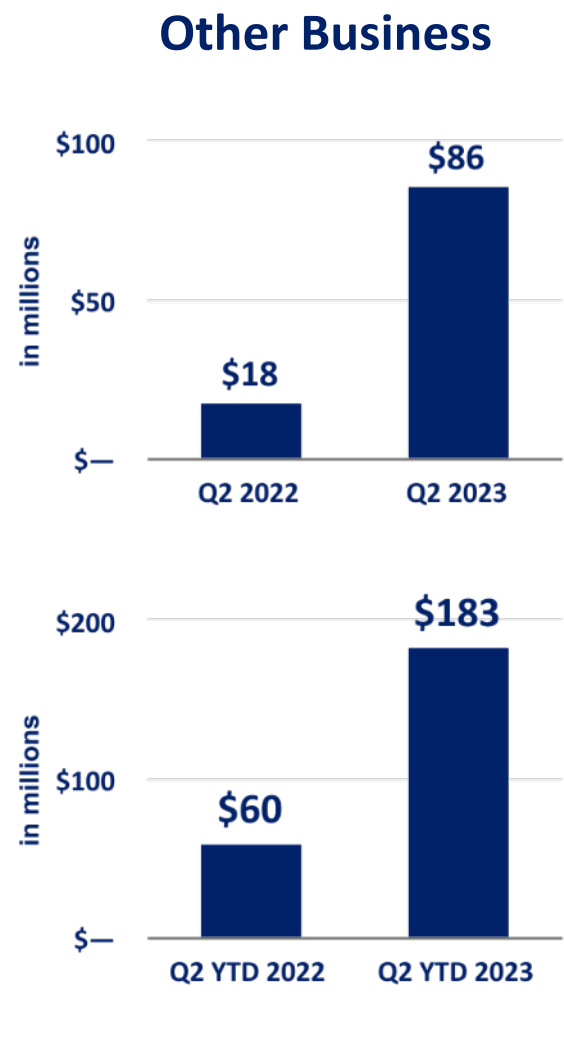
34% total increase in Nutrition pipeline year-over-year



⁽¹⁾Non-GAAP measure - see note on page 28

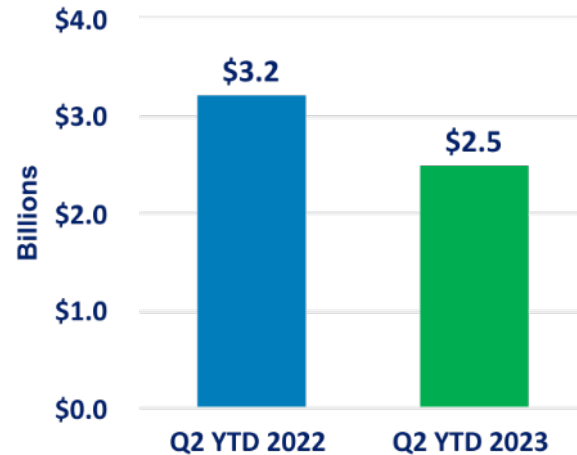
⁽²⁾See Nutrition revenue and operating profit, the most directly comparable GAAP measures, on page 15

Other Business Results and Corporate

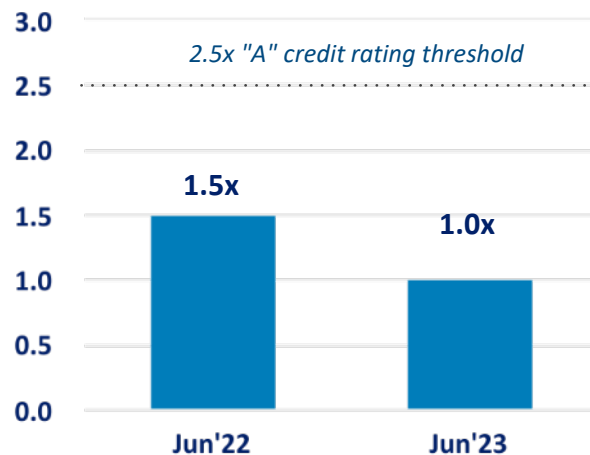


Robust Financial Flexibility to Support Strategic Growth

Cash from
Operations Before
Working Capital¹



Adjusted
Net Debt² / Adjusted
EBITDA³



¹ Cash from operations before working capital is total operating activities of \$0.9 billion and (\$0.7 billion) plus the changes in working capital of \$1.6 billion and \$3.9 billion in Q2YTD'22 and Q2YTD'23, respectively. ² see calculation on page 27. ³ Non-GAAP measure – see notes on page 28

Q2 YTD'23 Capital Expenditures

\$0.6 billion

Q2 YTD'23 Dividends

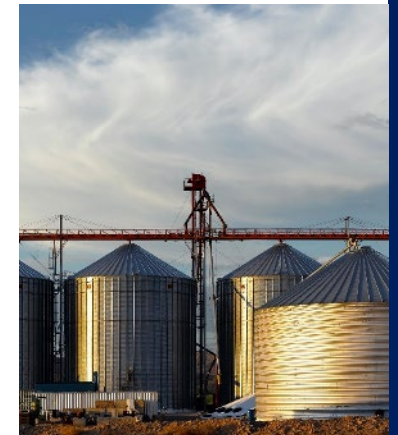
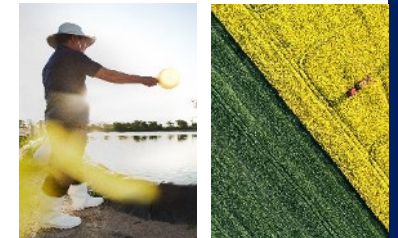
\$0.5 billion

Q2 YTD'23 Share Repurchases

\$1.0 billion

Expected 2023 Capital Expenditures

\$1.3B



Advancing strategic initiatives

Leveraging our full value chain to create opportunities

Proactively addressing challenges

Raising our 2023 outlook

Additional Facts and Information

A chef wearing a black apron is stirring a pot of orange soup on a portable stove. The kitchen counter is filled with fresh vegetables like celery, carrots, and parsley, along with a red thermos and a glass of orange juice. A horizontal bar with green, purple, blue, orange, and green segments is positioned below the text.

Industry Environment

Spot Gross Crush Margins¹

	Current US\$/MT	Q1 Call US\$/MT
Soybeans		
US	\$70-\$80	\$55-\$65
Europe	\$20-\$30	\$45-\$55
Brazil	\$15-\$35	\$25-\$45
Argentina	(\$10)-\$15	\$10-\$20
China	\$20-\$25	\$5-\$15
Front Month Board Crush	~\$75	\$40-\$50
Canola/Rapeseed		
North America	\$115-\$135	\$120-\$140
Europe	\$60-\$80	\$60-\$70

⁽¹⁾ADM estimates

⁽²⁾ADM estimates; reflects most current model assumptions and data regarding crop production, quality, storage, and marketing information

⁽³⁾Bloomberg

⁽⁴⁾EIA Weekly Petroleum Status Report

Farmer Selling²

	2022/2023 Crop Year			2023/2024 Crop Year		
	Current	5-Year Average	Prior Year	Current	5-Year Average	Prior Year
Corn						
US	98%	96%	96%	14%	19%	21%
Brazil	34%	45%	38%	n/a	n/a	n/a
Soybeans						
US	98%	95%	96%	13%	15%	22%
Brazil	66%	79%	74%	11%	21%	16%
Argentina	30%	35%	26%	n/a	1%	1%

U.S. Ethanol

Margins/Production

	Q2 23	Q1 23	Q2 22
Average Industry Ethanol EBITDA Margins/gal ³	\$0.71	\$0.49	\$0.36
Average Industry Daily Production Volume (thousands of barrels/day) ⁴	1,006	1,005	1,014
U.S. Ethanol Inventory (thousands of barrels) ⁴	22,260	25,136	23,490

ADM Additional Information

Processed Volumes by Quarter (000s of metric tons)

	CY 22				CY 23	
	Q1	Q2	Q3	Q4	Q1	Q2
Oilseeds	8,491	8,208	7,688	8,565	8,627	8,783
Corn	4,812	4,776	4,381	4,589	4,394	4,448
	13,303	12,984	12,069	13,154	13,021	13,231

Processed Volumes by Year (000s of metric tons)

	Calendar Year	
	2021	2022
Oilseeds	35,125	32,952
Corn	19,126	18,558
	54,251	51,510

Adjusted EBITDA⁽¹⁾⁽²⁾ by Segment (in millions)

	Q2 23	Q2 22	Trailing 4-Quarters	
			Q2 23	Q2 22
Adjusted EBITDA ⁽¹⁾⁽²⁾	\$ 1,629	\$ 1,866	\$ 6,714	\$ 5,948
Ag Services and Oilseeds	\$ 1,143	\$ 1,207	\$ 4,880	\$ 3,916
Carbohydrate Solutions	\$ 381	\$ 550	\$ 1,462	\$ 1,753
Nutrition	\$ 253	\$ 304	\$ 901	\$ 1,008
Other Business	\$ 84	\$ 24	\$ 340	\$ 82
Corporate	\$ (232)	\$ (219)	\$ (869)	\$ (811)

Cumulative Crush Deferred Timing Gains/(Losses)

Q1 2023	~\$85M
Q2 2023	~\$280M

As of June 30, 2023, approximately \$280M of deferred mark-to-market timing gains are expected to be recognized in subsequent quarters

⁽¹⁾Non-GAAP measure - see notes on page 28

⁽²⁾See earnings before income taxes, the most directly comparable GAAP measure, on page 26

ADM Additional Information

Nutrition Revenues (amounts in millions)

	Growth vs.		Growth vs.	
	Q2 23	Q2 22	YTD FY23	YTD FY22
GAAP Revenues				
Nutrition	\$ 1,853	(7.5)%	\$ 3,706	(5.6)%
Human Nutrition	\$ 966	(5.3)%	\$ 1,902	(3.8)%
Animal Nutrition	\$ 887	(9.8)%	\$ 1,804	(7.4)%
Constant Currency Revenues⁽¹⁾				
Nutrition	\$ 1,846	(7.8)%	\$ 3,724	(5.2)%
Human Nutrition	\$ 972	(4.7)%	\$ 1,930	(2.4)%
Animal Nutrition	\$ 874	(11.1)%	\$ 1,794	(8.0)%

Nutrition Operating Profit (amounts in millions)

	Growth vs.		Growth vs.	
	Q2 23	Q2 22	YTD FY23	YTD FY22
GAAP Operating Profit				
Nutrition	\$ 185	(22.6)%	\$ 330	(22.9)%
Human Nutrition	\$ 184	0.5%	\$ 322	(0.6)%
Animal Nutrition	\$ 1	(98.2)%	\$ 8	(92.3)%
Constant Currency Operating Profit⁽¹⁾				
Nutrition	\$ 182	(23.8)%	\$ 330	(22.9)%
Human Nutrition	\$ 185	1.1%	\$ 326	0.6%
Animal Nutrition	\$ (3)	(105.4)%	\$ 4	(96.2)%

⁽¹⁾Non-GAAP measure - see notes on page 28

Financial Appendix



Q2 2023 Financial Highlights

(Amounts in millions except per share data and percentages)

Adjusted earnings per share ^{(1) (2)}

Total segment operating profit (unadjusted) ⁽³⁾

Adjusted segment operating profit ^{(1) (3)}

Trailing 4Q average adjusted ROIC ⁽¹⁾

Trailing 4Q adjusted EBITDA ^{(1) (4)}

Annual adjusted EVA ⁽¹⁾

Quarterly effective tax rate

Cash from operations before working capital changes

Purchases of property, plant, and equipment

Return of capital to shareholders

Increase (decrease) in cash, cash equivalents, restricted cash, and restricted cash equivalents

Net debt to total capital ratio (as of June 30)

Quarter Ended June 30		
2023	2022	Change
\$1.89	\$2.15	(\$0.26)
\$1,525	1,840	(\$315)
\$1,628	\$1,849	(\$221)
13.8%	11.6%	220bps
\$6,714	\$5,948	\$766
\$1,953	\$2,081	(\$128)
18%	18%	

Six Months Ended June 30		
2023	2022	Change
\$2,490	\$3,218	(\$728)
\$614	\$500	\$114
\$1,495	\$653	\$842
\$(1,846)	\$169	(\$2,015)
22%	30%	

⁽¹⁾Non-GAAP measures - see notes on page 28

⁽²⁾See earnings per share, the most directly comparable GAAP measure, on page 23

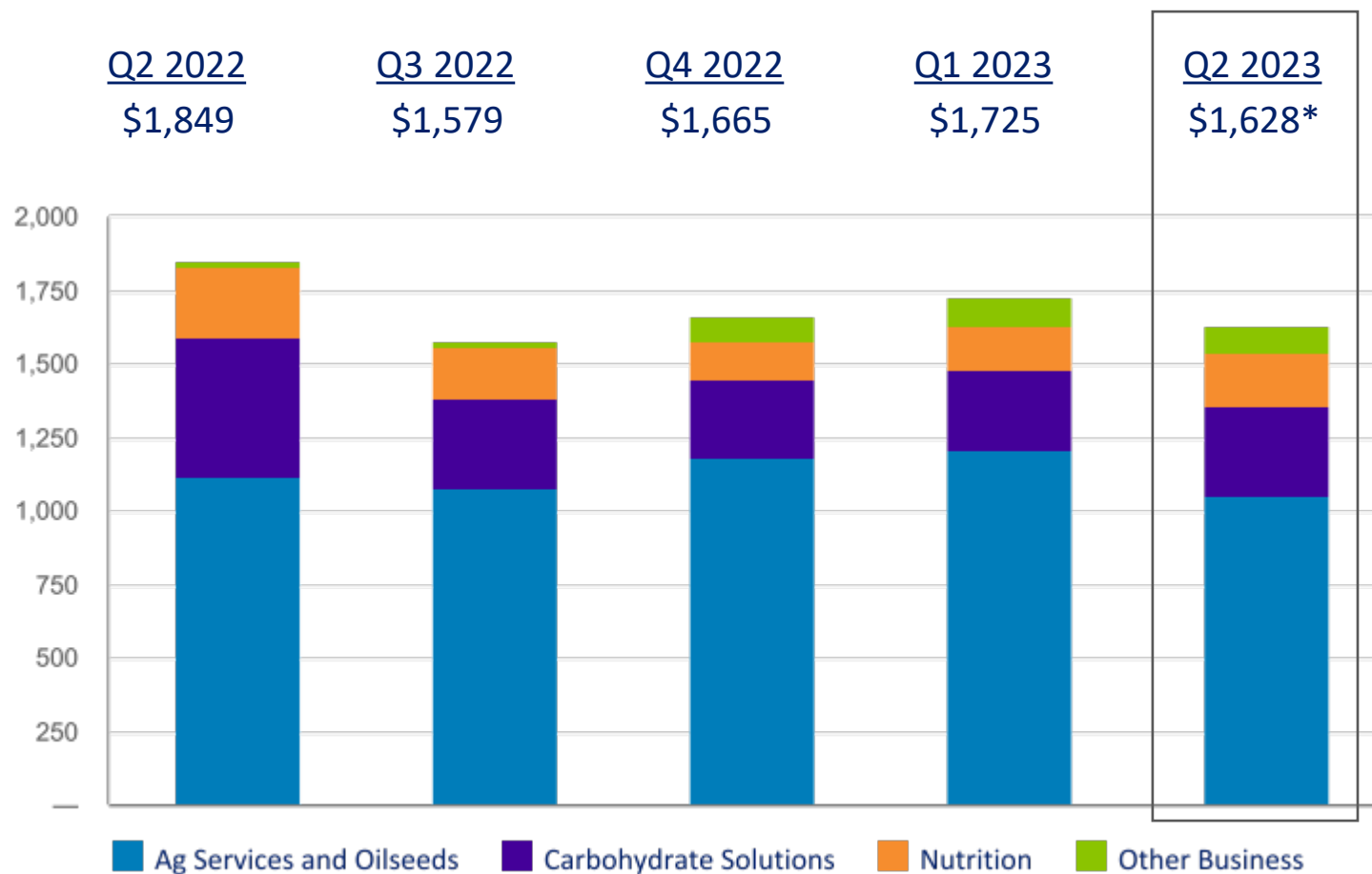
⁽³⁾See segment operating profit as reported on page 19

⁽⁴⁾See earnings before income taxes, the most directly comparable GAAP measure, on page 26

Q2 Adjusted Segment OP \$1.6 Billion

Adjusted segment operating profit ^(1,2) (in millions)

Excludes specified items



*Segment operating profit as reported was \$1.5B

⁽¹⁾Non-GAAP measure - see notes on page 28

⁽²⁾Adjusted segment operating profit equals total segment operating profit excluding specified items.

Segment Operating Profit and Corporate Results

	Quarter Ended June 30		
	2023	2022	Change
(Amounts in millions)			
Total Segment Operating Profit⁽¹⁾	\$ 1,525	\$ 1,840	\$ (315)
Specified items: Gain on sale of assets	(11)	—	(11)
Impairment and restructuring charges and contingency provisions	114	9	105
Adjusted Segment Operating Profit⁽¹⁾⁽²⁾	\$ 1,628	\$ 1,849	\$ (221)
Ag Services and Oilseeds	\$ 1,054	\$ 1,119	\$ (65)
Ag Services	380	407	(27)
Crushing	224	468	(244)
Refined Products and Other	362	130	232
Wilmar	88	114	(26)
Carbohydrate Solutions	\$ 303	\$ 473	\$ (170)
Starches and Sweeteners	285	393	(108)
Vantage Corn Processors	18	80	(62)
Nutrition	\$ 185	\$ 239	\$ (54)
Human Nutrition	184	183	1
Animal Nutrition	1	56	(55)
Other Business	\$ 86	\$ 18	\$ 68
Total Segment Operating Profit⁽¹⁾	\$ 1,525	\$ 1,840	\$ (315)
Corporate	\$ (393)	\$ (321)	\$ (72)
Interest expense – net	(125)	(87)	(38)
Unallocated corporate costs	(262)	(267)	5
Other	(1)	13	(14)
Specified Items: Gain (loss) on debt conversion option	1	19	(18)
Loss on sale of assets	—	—	—
Expenses related to acquisitions	(3)	—	(3)
Restructuring adjustment	(3)	1	(4)
Earnings Before Income Taxes	\$ 1,132	\$ 1,519	\$ (387)

⁽¹⁾ Non-GAAP measure - see notes on page 28

⁽²⁾ Adjusted segment operating profit equals total segment operating profit excluding specified items.

Balance Sheet Highlights

(Amounts in millions)

	June 30	
	2023	2022
Cash ⁽¹⁾	\$ 1,426	\$ 906
Net property, plant, and equipment	10,127	9,680
Operating working capital ⁽²⁾	10,898	14,537
- Total inventories	11,902	14,485
Total debt	8,670	11,518
- CP outstanding	—	230
Shareholders' equity	24,975	24,426
Memos:		
Available credit capacity June 30		
- CP	\$5.0 bil	\$6.3 bil
- Other	\$6.3 bil	\$4.3 bil
Readily marketable inventory	\$6.5 bil	\$8.9 bil

⁽¹⁾Cash = cash and cash equivalents and short-term marketable securities

⁽²⁾Current assets (excluding cash and cash equivalents and short-term marketable securities less current liabilities (excluding short-term debt and current maturities of long-term debt))

Cash Flow Highlights

(Amounts in millions)

	Six Months Ended June 30	
	2023	2022
Cash from operations before working capital changes	\$ 2,490	\$ 3,218
Changes in working capital	(1,591)	(3,893)
Purchases of property, plant, and equipment	(614)	(500)
Sub-total	285	(1,175)
Other investing activities	3	(147)
Debt increase/(decrease)	(533)	2,165
Dividends	(494)	(453)
Stock buyback	(1,001)	(200)
Other	(106)	(21)
Increase (decrease) in cash, cash equivalents, restricted cash, and restricted cash equivalents	\$ (1,846)	\$ 169

GAAP Statement of Earnings Summary

(Amounts in millions except per share data)

	Quarter Ended June 30		
	2023	2022	Change
Revenues	\$ 25,190	\$ 27,284	\$ (2,094)
Gross profit	1,883	2,100	(217)
Selling, general and administrative expenses	841	814	27
Asset impairment, exit, and restructuring charges	60	1	59
Equity in (earnings) losses of unconsolidated affiliates	(151)	(192)	41
Interest and investment income	(142)	(32)	(110)
Interest expense	180	73	107
Other (income) expense – net	(37)	(83)	46
Earnings before income taxes	1,132	1,519	(387)
Income tax expense (benefit)	204	279	(75)
Net earnings including noncontrolling interests	928	1,240	(312)
Less: Net earnings (losses) attributable to noncontrolling interests	1	4	(3)
Net earnings attributable to ADM	\$ 927	\$ 1,236	\$ (309)
Earnings per share (fully diluted)	\$ 1.70	\$ 2.18	\$ (0.48)

Adjusted Earnings Per Share (EPS)

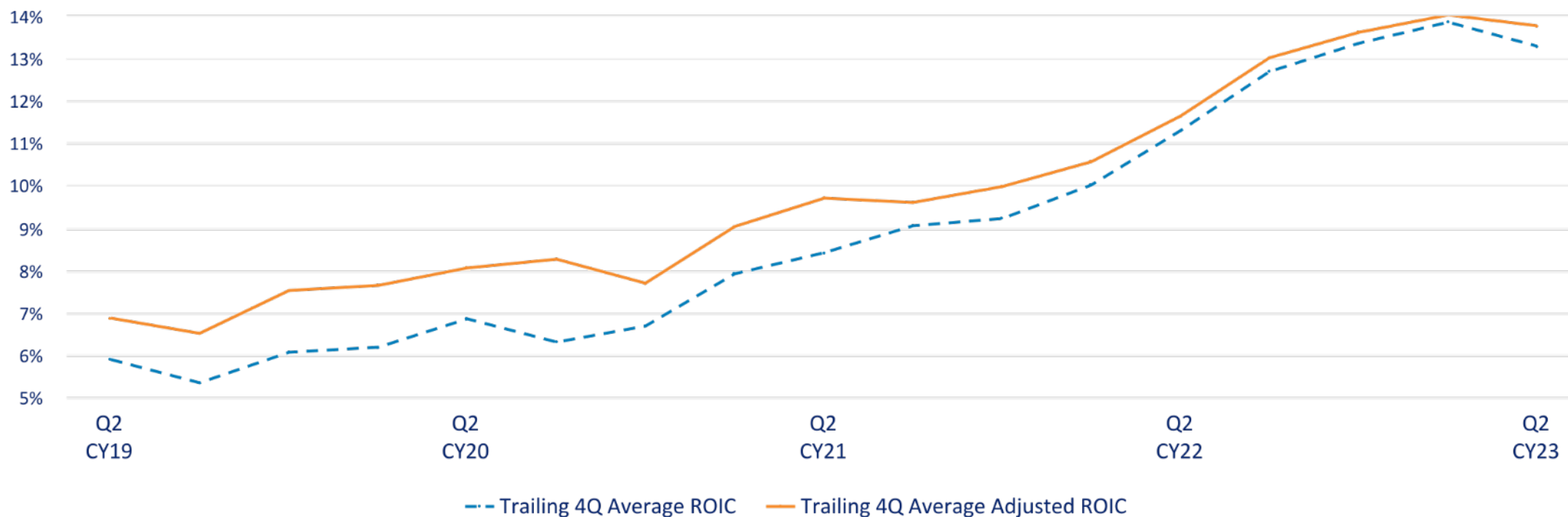
	Quarter Ended June 30					
	2023			2022		
(Amounts in millions except per share data)	Pre-tax	After-tax	Per share	Pre-tax	After-tax	Per share
Earnings and EPS (fully diluted) as reported	\$ 1,132	\$ 927	\$ 1.70	\$ 1,519	\$ 1,236	\$ 2.18
<u>Adjustments</u>						
Gains on sales of assets	(11)	(8)	(0.02)	—	—	—
Impairment and restructuring charges and contingency provisions	117	93	0.17	8	6	0.01
Loss (gain) on debt conversion option	(1)	(1)	—	(19)	(19)	(0.04)
Expenses related to acquisitions	3	2	—	—	—	—
Tax adjustment	21	21	0.04	(1)	(1)	—
Adjusted Earnings and adjusted EPS (non-GAAP) ⁽¹⁾	\$ 1,261	\$ 1,034	\$ 1.89	\$ 1,507	\$ 1,222	\$ 2.15

⁽¹⁾Non-GAAP measure - see notes on page 28

ROIC versus WACC

LT ROIC Objective: 10%

	Q2 CY23
Trailing 4Q Average Adjusted ROIC ⁽¹⁾⁽²⁾	13.8 %
Annual WACC	8.00 %
Trailing 4Q Average Adjusted EVA	\$2.0B
Long-Term WACC	7.0 %
Trailing 4Q Average ROIC ⁽¹⁾⁽³⁾	13.3 %



⁽¹⁾Non-GAAP measure - see notes on page 28

⁽²⁾Adjusted for LIFO and specified items - see notes on page 28

⁽³⁾Adjusted for LIFO - see notes on page 28

Return on Invested Capital

Adjusted ROIC Earnings⁽¹⁾

(Amounts in millions)

Net earnings attributable to ADM

Adjustments

Interest expense

Other adjustments

Total adjustments

Tax on adjustments

Net adjustments

Total Adjusted ROIC Earnings

	Quarter Ended				Four Quarters Ended
	Sep. 30, 2022	Dec. 31, 2022	Mar. 31, 2023	Jun. 30, 2023	Jun. 30, 2023
Net earnings attributable to ADM	\$ 1,031	\$ 1,019	\$ 1,170	\$ 927	\$ 4,147
Interest expense	97	134	100	124	455
Other adjustments	27	62	(12)	130	207
Total adjustments	124	196	88	254	662
Tax on adjustments	(25)	(47)	(26)	(52)	(150)
Net adjustments	99	149	62	202	512
Total Adjusted ROIC Earnings	\$ 1,130	\$ 1,168	\$ 1,232	\$ 1,129	\$ 4,659

Adjusted Invested Capital⁽¹⁾

(Amounts in millions)

Equity⁽²⁾

+ Interest-bearing liabilities⁽³⁾

+ Other adjustments (net of tax)

Total Adjusted Invested Capital

	Quarter Ended				Trailing Four Quarter Average
	Sep. 30, 2022	Dec. 31, 2022	Mar. 31, 2023	Jun. 30, 2023	Average
Equity ⁽²⁾	\$ 23,997	\$ 24,284	\$ 24,860	\$ 24,939	\$ 24,520
+ Interest-bearing liabilities ⁽³⁾	8,747	9,187	10,512	8,675	9,280
+ Other adjustments (net of tax)	25	47	(14)	108	42
Total Adjusted Invested Capital	\$ 32,769	\$ 33,518	\$ 35,358	\$ 33,722	\$ 33,842

⁽¹⁾Non-GAAP measure – see notes on page 28

⁽²⁾Excludes noncontrolling interests

⁽³⁾Includes short-term debt, current maturities of long-term debt, finance lease obligations, and long-term debt

Adjusted Earnings Before Taxes, Interest, and Depreciation and Amortization (EBITDA)⁽¹⁾ Four Quarters Ended June 30, 2023

Adjusted EBITDA⁽¹⁾

(Amounts in millions)

	Quarter Ended				Four Quarters Ended
	Sep. 30, 2022	Dec. 31, 2022	Mar. 31, 2023	Jun. 30, 2023	Jun. 30, 2023
Earnings before income taxes	\$ 1,230	\$ 1,213	\$ 1,397	\$ 1,132	\$ 4,972
Interest expense	97	134	100	124	455
Depreciation and amortization	260	254	259	262	1,035
Losses (gains) on sales of assets and businesses	(29)	(17)	(1)	(11)	(58)
Impairment and restructuring charges and contingency provisions	49	74	7	117	247
Railroad maintenance expense	32	26	—	2	60
Expenses related to acquisitions	—	—	—	3	3
Adjusted EBITDA	\$ 1,639	\$ 1,684	\$ 1,762	\$ 1,629	\$ 6,714

Adjusted EBITDA⁽¹⁾ by Segment

(Amounts in millions)

	Quarter Ended				Four Quarters Ended
	Sep. 30, 2022	Dec. 31, 2022	Mar. 31, 2023	Jun. 30, 2023	Jun. 30, 2023
Ag Services and Oilseeds	\$ 1,166	\$ 1,271	\$ 1,300	\$ 1,143	\$ 4,880
Carbohydrate Solutions	391	338	352	381	1,462
Nutrition	242	196	210	253	901
Other Business	35	124	97	84	340
Corporate	(195)	(245)	(197)	(232)	(869)
Adjusted EBITDA	\$ 1,639	\$ 1,684	\$ 1,762	\$ 1,629	\$ 6,714

⁽¹⁾Non-GAAP measure – see notes on page 28

Adjusted Net Debt to Adjusted EBITDA

Adjusted Net Debt

(Amounts in millions)

Short-term debt

Current maturities of long-term debt

Long-term debt

Total Debt

Cash and cash equivalents

Net Debt

Adjustments:

Readily marketable inventories (RMI)

x RMI factor

RMI adjustment

Accounts receivable transferred against the securitization programs facility

Total adjustments

Adjusted Net Debt

Trailing Four Quarters Adjusted EBITDA ^(1,2)

Adjusted Net Debt / Adjusted EBITDA

June 30			
	2023		2022
\$	125	\$	2,352
	301		1,104
	8,244		8,062
	8,670		11,518
	(1,426)		(906)
\$	7,244	\$	10,612
\$	(6,490)	\$	(8,931)
	40 %		40 %
	(2,596)		(3,572)
	2,176		1,772
\$	(420)	\$	(1,800)
\$	6,824	\$	8,812
\$	6,714	\$	5,948
	1.0		1.5
	x		x

⁽¹⁾Non-GAAP measure - see notes on page 28

⁽²⁾See earnings before income taxes, the most directly comparable GAAP measure, on page 26

Notes: Non-GAAP Reconciliation

The Company uses certain “Non-GAAP” financial measures as defined by the Securities and Exchange Commission. These are measures of performance not defined by accounting principles generally accepted in the United States, and should be considered in addition to, not in lieu of, GAAP reported measures.

1. **Adjusted net earnings and Adjusted earnings per share (EPS)**
Adjusted net earnings reflects ADM’s reported net earnings after removal of the effect on net earnings of specified items as more fully described above. Adjusted EPS reflects ADM’s fully diluted EPS after removal of the effect on EPS as reported of specified items as more fully described above. Management believes that Adjusted net earnings and Adjusted EPS are useful measures of ADM’s performance because they provide investors additional information about ADM’s operations allowing better evaluation of underlying business performance and better period-to-period comparability. These non-GAAP financial measures are not intended to replace or be alternatives to net earnings and EPS as reported, the most directly comparable GAAP financial measures, or any other measures of operating results under GAAP. Earnings amounts described above have been divided by the company’s diluted shares outstanding for each respective period in order to arrive at an adjusted EPS amount for each specified item.
2. **Segment operating profit and adjusted segment operating profit**
Segment operating profit is ADM’s consolidated income from operations before income tax excluding corporate items. Adjusted segment operating profit, a non-GAAP measure, is segment operating profit excluding specified items. Management believes that segment operating profit and adjusted segment operating profit are useful measures of ADM’s performance because they provide investors information about ADM’s business unit performance excluding corporate overhead costs as well as specified items. Segment operating profit and adjusted segment operating profit are not measures of consolidated operating results under U.S. GAAP and should not be considered alternatives to income before income taxes, the most directly comparable GAAP financial measure, or any other measure of consolidated operating results under U.S. GAAP.
3. **Adjusted Return on Invested Capital (ROIC)**
Adjusted ROIC is Adjusted ROIC earnings divided by adjusted invested capital. Adjusted ROIC earnings is ADM’s net earnings adjusted for the after-tax effects of interest expense on borrowings, changes in the LIFO reserve and other specified items. Adjusted invested capital is the sum of ADM’s equity (excluding noncontrolling interests) and interest-bearing liabilities adjusted for the after-tax effect of the LIFO reserve, and other specified items. Management believes Adjusted ROIC is a useful financial measure because it provides investors information about ADM’s returns excluding the impacts of LIFO inventory reserves and other specified items and increases period-to-period comparability of underlying business performance. Management uses Adjusted ROIC to measure ADM’s performance by comparing Adjusted ROIC to its weighted average cost of capital (WACC). Adjusted ROIC, Adjusted ROIC earnings and Adjusted invested capital are non-GAAP financial measures and are not intended to replace or be alternatives to GAAP financial measures.
4. **Average ROIC**
Average ROIC is ADM’s trailing 4-quarter net earnings adjusted for the after-tax effects of interest expense on borrowings, and changes in the LIFO reserve divided by the sum of ADM’s equity (excluding non-controlling interests) and interest-bearing liabilities adjusted for the after-tax effect of the LIFO reserve. Management uses average ROIC for investors as additional information about ADM’s returns. Average ROIC is a non-GAAP financial measure and is not intended to replace or be an alternative to GAAP financial measures.
5. **Adjusted Economic Value Added**
Adjusted economic value added is ADM’s trailing 4-quarter economic value added adjusted for specified items. The Company calculates economic value added by comparing ADM’s trailing 4-quarter adjusted returns to its Annual WACC multiplied by adjusted invested capital. Adjusted economic value added is a non-GAAP financial measure and is not intended to replace or be an alternative to GAAP financial measures.
6. **Adjusted EBITDA**
Adjusted EBITDA is ADM’s earnings before taxes, interest on borrowings, and depreciation and amortization, adjusted for specified items. The Company calculates adjusted EBITDA by removing the impact of specified items and adding back the amounts of interest expense on borrowings and depreciation and amortization to earnings before income taxes. Management believes that adjusted EBITDA is a useful measure of the Company’s performance because it provides investors additional information about the Company’s operations allowing better evaluation of underlying business performance and better period to period comparability. Adjusted EBITDA is a non-GAAP financial measure and is not intended to replace or be an alternative to earnings before income taxes, the most directly comparable GAAP financial measure.
7. **Constant Currency Revenue and Constant Currency Operating Profit**
Constant currency revenue is ADM’s GAAP revenue adjusted for the impact of fluctuations in foreign currency exchange rates. Constant currency operating profit is ADM’s GAAP operating profit adjusted for the impact of fluctuation in foreign currency exchange rates. The Company calculates constant currency revenue/operating profit by converting its current period revenue/operating profit using the prior period exchange rates and comparing the adjusted amount to its prior period reported results. Management believes constant currency revenue and constant currency operating profit provide valuable supplemental information regarding its revenue and operating profit and facilitate period-to-period comparison. Constant currency revenue and constant currency operating profit are non-GAAP measures and are not intended to replace or be alternatives to GAAP revenue and GAAP operating profit, the most directly comparable GAAP financial measures.